

Hertz Global Holdings, Inc.: review of the FY2012 and FY2013 reports and statements

Prepared for an analyst deciding where to spend reading time. Sources: Form 10-K for FY2012 (filed 2013-03-04), Form 10-K for FY2013 (filed 2014-03-19), the Q4 2012 and Q4 2013 results releases, and the statements spreadsheet (as originally reported). All amounts USD millions unless stated.

1. Measures

Q4 2013 and Q4 2012 are taken from the 2013 results release because the spreadsheet marks Q4 2013 “mixed basis”; Q4 2012 is on the release’s revised basis.

Measure	FY2011	FY2012	FY2013	Q4 2012	Q4 2013	Industry (Transportation)
Days sales outstanding	71.1	76.3	51.3	74.5	54.4	42 (11.5% of sales)
Days inventory (on substitute cost line)	4.7	5.6	4.1	5.4	4.1	inventory/sales 0.5% vs company 0.9%
Days payable (on substitute cost line)	50.6	52.5	42.7	51.1	42.8	payables/sales 4.5% vs company 9.0%
Receivables growth less revenue growth	+9.4 pts	+8.0	−39.2	n/a	−29.5 (Q4 on Q4)	
Inventory growth less cost growth	−9.1	+18.5	−31.9	n/a	−27.9	
Payables growth less cost growth	−11.2	+4.0	−22.3	n/a	−18.7	
Allowance / gross receivables	1.24%	1.31% (1.53% as revised)	2.00%	1.53%	2.00%	
Gross margin	22.0%	23.0%	23.2%	22.1%	18.5%	
Operating margin (before interest, other)	13.0%	12.5%	13.7%	7.8%	9.9%	5.9% (pre-tax operating)
Pre-tax margin	3.9%	5.0%	6.2%	−1.9%	2.4%	
Accruals (NI less CFO) / avg assets	−11.6%	−12.1%	−13.6%	−11.8% ann.	−11.9% ann.	
Free cash flow (CFO less fleet and P&E spending net of disposal proceeds)	401.5	54.8	314.5	918.0	1,313.2	
Net income less free cash flow	−205.8	+188.3	+31.7	−954.8	−1,313.8	
Depreciation rate, revenue earning equipment (charge before disposal adjustment / avg gross)	16.2%	15.3%	14.3%	13.7%*	13.4%*	
Depreciation rate, cars only, before disposal adjustment	n/a	16.7%	15.4%			
Depreciation rate, other (rental) equipment, before disposal adjustment	n/a	9.4%	9.6%			
Depreciation rate, property and equipment	7.6%	7.3%	7.9%			

Measure	FY2011	FY2012	FY2013	Q4 2012	Q4 2013	Industry (Transportation)
Capital spending (net of disposal proceeds) / depreciation	0.93	1.19	1.24			1.4
Beneish M-score (pair of years)		-2.73	-3.25			

*Quarter rate uses the release's Table 7 depreciation (after disposal adjustment) annualised by days (92).

Cost line: the statements have no cost-of-sales line; the substitute is "Direct operating" plus "Depreciation of revenue earning equipment and lease charges" (FY2013: 5,752.0 + 2,525.5). Growth figures cover the full year on year (FY2011 uses FY2010 balances); the Q4 column compares the 31 December 2013 balance with 31 December 2012 and Q4 revenue with Q4 revenue. Accruals and the M-score are dominated by fleet depreciation sitting in operating cash flow, so they carry little signal here. Beneish 2013 components: DSRI 0.67, GMI 0.99, AQI 0.93, SGI 1.19, DEPI 0.94, SGAI 0.91, LVGI 0.99, TATA -0.13.

2. Words searched

Word	2012 10-K pages	2013 10-K pages
holding period	11, 42, 44, 61, 81	11, 42, 45, 53, 66, 91, 126
useful life / useful lives	89 / 46, 80, 81, 83, 85, 86, 88	99, 146 / 46, 83, 90, 93, 94, 96, 98
average	30 pages, incl. 11, 42, 45, 46, 81, 104 to 112	38 pages, incl. 11, 42, 43, 46, 92, 117 to 124
residual	1, 11, 22 to 24, 40 to 42, 44, 53 to 55, 58 to 60, 63, 81, 113	1, 11, 23 to 25, 40 to 43, 45, 54, 61 to 64, 68, 91, 126
salvage	none	none

3. Statements of lives, holding periods, residual values and reserve methods

Misfits first.

Statement	Pages 2012 / 2013	Number 2012 / 2013	Still fits?
"cumulative effect of the reduction in rates was [also] indicative of the [strong] residual values experienced in the U.S."	113 / 126 (also 42)	U.S. disposal result: gain \$100.6M / loss \$48.2M; rate cuts \$139.4M / \$44.2M	no
"approximate average holding period for a rental car was eighteen months in the United States"	11 / 11	18 / 18 months, while the range moved from "4 to 28 months" to "4 to 36 months" and no method for the average is given	no
"Cars 4 to 28 months" (2012, "Useful lives") vs "Cars 4 to 36 months" (2013, "Holding periods")	81 / 91	top of range +8 months; effect on income not stated	no (changed, unquantified)
"longer holding periods and the impact of recalls" (reason U.S. fleet costs rose)	n/a / 53	average holding period 18 / 18 months (p.11)	rough

Statement	Pages 2012 / 2013	Number 2012 / 2013	Still fits?
"monthly per vehicle depreciation costs decreased" (U.S.)	42 / 42	per U.S. car per month, before disposal result \$242 to \$217 (–10%); after disposal result \$219 to \$226 (+3%)	partly (holds before disposals, not after)
"Other intangible assets 3 to 20 years" became "3 to 10 years"; the same report says finite lives "range from two to fifteen years" and Donlen lives of 16 and 20 years	81, 83, 89 / 91, 93, 99	three different ranges in the 2013 report	no (tie-out gap)
"We expect this percentage [program cars] to continue to decrease"	22, 41 / dropped	program cars 30% of purchases in 2012 and 30% in 2013 (2013 p.23)	no; sentence dropped
"fourteen/thirteen months in our international operations"	11 / 11	14 to 13; "accelerated rotation strategy" (p.43)	yes
"the average holding period for non-program vehicles is longer than program vehicles"	42 / 42	non-program share U.S. 95% to 91%, average unchanged	yes
"Other equipment 24 to 108 months"	81 / 91	equipment rate before disposal result 9.4% to 9.6%	can't tell (residuals not given)
Buildings "3 to 50" became "5 to 50"; software "1 to 15" became "1 to 10" years	81 / 91	P&E depreciation rate 7.3% to 7.9%	yes (shorter lives, higher rate)
Allowance "based on our historical experience and our judgment"	81 / 90	allowance / write-offs 1.00x to 0.76x; allowance / gross receivables 1.3% to 2.0%	yes

4. Items to investigate

(1) Depreciation rates and residual values of the car fleet

Shown. In 2013 depreciation rates were cut again ("net decreases of \$44.2 million, \$139.4 million and \$26.7 million" in 2013, 2012, 2011; 2013 10-K p.126 and p.42) while disposals of U.S. cars swung from a \$100.6M net gain to "net losses of \$48.2 million", and MD&A attributes higher U.S. depreciation to "a deterioration in the used vehicle residual values" (p.54). The same note nonetheless keeps the sentence that the rate reductions were "also indicative of the residual values experienced in the U.S. for the years ended December 31, 2013" (p.126); in 2012 it read "indicative of the strong residual values" (2012 p.113). The car holding-period range was lengthened from "4 to 28 months" (2012 p.81) to "4 to 36 months" (2013 p.91) with no effect stated, and a further \$40.0M impairment was taken on about 20,000 cars subleased to Advantage (p.146). Size: the income effect ranks on the company's stated 2013 rate reduction, \$44.2M net of the \$5.0M international increase = \$39.6M, 6.0% of 2013 pre-tax income; the computed per-car charge not taken at the 2012 gross rate is about \$139M (U.S.), 21% of pre-tax income; exposure: \$48.2M loss plus \$40.0M impairment, 13.3%; cumulative U.S. rate reductions 2011 to 2013 \$210.3M. Persistence: the rate fell three consecutive years (16.2%, 15.3%, 14.3%). Level 1, audited notes (sentence and numbers in the same Note 8). Absorbed: the Part A rate flag; the explanation test (the stated reasons "car sales channel diversification, acceleration of our retail sales expansion" should raise residuals, yet the realised result was a loss, so the explanation does not hold); Part C capitalized costs (leans aggressive); Part D rows 1 to 5 above and the dropped 2012 sentence "With

fewer program cars in our fleet, we have an increased risk that the market value of a car at the time of its disposition will be less than its estimated residual value" (2012 p.41, absent in 2013).

Reading. Most likely the reporting is stretched on this estimate; possibly the business weakening (used-car prices fell in late 2013 and the company says it carried "extra fleet", release p.2). A 2014 disposal result near break-even and a stated effect for the holding-period change would point back to ordinary.

Next. Ask for depreciation rate changes by quarter in 2013, the gain or loss per car by quarter, the average age and holding period of Dollar Thrifty versus Hertz cars, and why the 36-month range was adopted.

(2) Adjusted measures treat recurring and fleet-related charges as one-time

Shown. Adjusted pre-tax income is "income before income taxes plus certain non-cash purchase accounting charges, debt-related charges ... and certain one-time charges and nonoperational items" (p.50), yet restructuring charges have been recorded every year from 2007 (\$568.4M through 2012, 2012 p.124, plus \$77.0M in 2013, p.44); "litigation accrual" is excluded in both years (\$14.0M in 2012, \$5.7M in 2013, release p.5 note g); the \$44.0M "Impairment charges and other" on rental cars is excluded (p.50); the assumed tax rate is 35% against an actual 47.8% (p.57); and "free cash flow" adds "net worldwide car rental fleet financing" of \$133.9M (release Table 7), so without fleet borrowing it is \$314.8M not \$448.7M. The 2012 definition said "non-cash debt charges"; 2013 drops "non-cash" (2012 p.50 / 2013 p.50). Size: the gap from reported to adjusted pre-tax income is \$490.1M in 2013 (74% of pre-tax income) and \$450.9M in 2012 (102%), not an income effect; the item ranks on restructuring and related charges excluded, \$98.8M, 14.9% of pre-tax income. Level 1, second group (an adjusted measure: "one-time" contradicted by seven consecutive years of the charge). Absorbed: the Part B reported-versus-adjusted test; Part C adjusted measures (leans aggressive).

Reading. Most likely ordinary presentation for the sector, but the measures overstate recurring earnings; this would change if restructuring ceased in 2014.

Next. Rebuild adjusted pre-tax income adding back only purchase accounting and debt-cost amortisation.

(3) Out-of-period errors of \$46.3M found in Q4 2013, with controls declared effective

Shown. "we identified certain out of period errors totaling \$46.3 million, of which \$34.7 million (\$21.0 million, net of tax) related to" 2012, 2011 and prior (p.83): vendor incentives booked against marketing instead of car cost, "charges related to certain assets and allowances for doubtful accounts in Brazil", "under accruals", and "certain reclassifications of \$23.1 million" (p.87). The remaining \$11.6M was moved between 2013 quarters (Q3 2013 pre-tax cut \$7.0M, p.87). Management and PwC conclude internal control was "effective as of December 31, 2013" (p.159, p.74); an Oracle general ledger was implemented in Q3 2013 (p.159); a securities class action covers disclosures from "February 25, 2013 through November 4, 2013" (p.138). Size: 2013 full-year pre-tax income is \$34.7M (5.2%) higher than if the prior-period errors had been booked in 2013; the vendor-incentive correction lowered the 2013 nine-month depreciation line by \$22.1M and raised SG&A by \$21.2M. Level 2 (errors in the allowance and fleet-cost accounts, the same accounts as items 1 and 4, in the same period). Absorbed: Part C auditor and controls (can't tell); the Brazil allowance understatement (\$3.6M 2012, \$6.2M 2011).

Reading. Can't tell from these documents; possibly reporting stretched if further errors surface in 2014; ordinary if none do.

Next. Read the 2014 10-Qs for further revisions and any change in the Item 9A conclusion.

(4) Concession-fee litigation (Sobel) and legal reserves

Shown. The court “granted, in part, the plaintiffs’ motion for partial summary judgment with respect to restitution and granted the plaintiffs’ motion for class certification” and “A judgment - which could potentially exceed \$40.0 million - has still not been issued”, while “We continue to believe the outcome of this case will not be material” (p.137); whether a reserve exists for this case is not stated, and the only litigation accrual quantified is the \$5.7M excluded from adjusted results. In 2012 the case was described as stayed for mediation with no amount (2012 p.122). Size: exposure \$40M plus, 6.0% of pre-tax income; unquantified accrual. Level 3. Absorbed: Part C contingencies (leans aggressive on this case).

Reading. Possibly ordinary (mediation in March 2014); would change if a judgment is entered above the accrual.

Next. Ask what is accrued for Sobel and read the Q1 2014 10-Q.

(5) Accrued liabilities fell while revenue grew 19%, unexplained

Shown. Accrued liabilities 1,163.1 (revised) to 1,104.7 (p.75), 12.9% to 10.3% of revenue, yet the cash flow statement shows accrued liabilities as a \$25.2M source (p.80), a gap of \$83.6M between the two statements that the report does not explain; the company says nothing about the balance beyond “timing of our payments” (p.64). Size: the balance less what it would be at the prior year’s share of revenue is \$284M, 43% of pre-tax income (a balance exposure, not an income effect). Persistence: the share fell two consecutive years. Level 3, unexplained.

Reading. Can’t tell; possibly ordinary (fleet-purchase accruals move through investing), possibly under-accrual given the “under accruals” cited in the error correction (p.87).

Next. Ask for the components of accrued liabilities at both dates.

5. Also noted

DSO fell from 76 to 51 days: \$260M of the \$367M fall is manufacturer receivables for car sales (“Sales of revenue earning equipment included in receivables” 617.3 to 357.3, p.81), operating receivables actually rose \$34.7M, and \$72M is unexplained; no income effect. Payables at 9.0% of sales sit at twice the industry 4.5% (\$483M above, 73% of pre-tax income) but include \$289.1M of fleet purchases and fell 10 days in 2013. Q4 2013 gross margin fell 3.5 points (\$90M, 13.6% of pre-tax income); the release’s “\$0.12” per-share impact of pricing and “extra fleet” (p.2) is about \$86M pre-tax, so it largely holds. Tie-out gaps: provision for doubtful accounts 45.9 (cash flow, p.80) vs 41.9 charged to expense (Schedule II, p.158); 2012 gains on P&E disposals \$6.3M (2012 p.81) vs \$8.3M (cash flow and 2013 p.91); three ranges for intangible lives; Q4 2012 operating cash flow 600.5 (release) vs 578.5 implied by the revised annual and nine-month figures. Reworded: multiemployer plans “have underfunded liabilities” (2012 p.25) became “could have significant underfunded liabilities” (2013 p.26); dropped: “We are not a party to any long-term car supply arrangements with manufacturers” (2012 p.22).

6. Checked and explained

The public liability reserve grew 4.7% against car-rental revenue up 21.6%, but its share of car-rental revenue (3.99%) is back at the 2011 level (4.06%) after Dollar Thrifty’s reserve arrived with 43 days of revenue in 2012; at the 2011 share the shortfall is \$5M. Prepaid and other assets +\$228M is mostly the China Auto Rental notes and shares (\$151M Level 3, p.146). Q4 2012 SG&A of \$331.1M carried \$126.4M of acquisition costs, so the Q4 operating-margin rise is not operating. The allowance for doubtful accounts rose to 2.0% of gross receivables with the provision roughly

equal to write-offs (41.9 vs 40.3). The spreadsheet's mixed-basis Q4 2013 pre-tax of 50.7 differs from the release's 62.3 by exactly the \$11.6M moved into earlier 2013 quarters.

7. Not examined

No receivables ageing, no claims development table for the \$347.7M public liability reserve, no gross fleet by segment, no goodwill or trade-name headroom (five reporting units, \$3,330M trade name, "did not exceed their estimated fair values", p.94 and p.96), no quarterly balance sheet in the release, and the proxy statement with related-party detail is not attached.

Items to investigate, not conclusions. The verdicts are the analyst's.